

COMPANY REGISTRATION NUMBER: 03950830

CHARITY REGISTRATION NUMBER: 1083219

Mountain Heritage Trust
Company Limited by Guarantee
Unaudited Financial Statements
31 December 2021

SAINT & CO

Chartered Accountants
Saint & Co Chartered Accountants
Sterling House
Wavell Drive
Rosehill
Carlisle
Cumbria
CA1 2SA

Mountain Heritage Trust
Company Limited by Guarantee
Financial Statements
Year ended 31 December 2021

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Mountain Heritage Trust

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Trustees' Annual Report (Incorporating the Director's Report) *(continued)*

Year ended 31 December 2021

The trustees, who are also the directors for the purposes of company law, present their report and the unaudited financial statements of the charity for the year ended 31 December 2021.

REFERENCE AND ADMINISTRATIVE DETAILS

Registered charity name	Mountain Heritage Trust
Charity registration number	1083219
Company registration number	03950830
Principal office and registered office	Blencathra Field Centre Threlkeld Keswick CA12 4SG

THE TRUSTEES

The British Mountaineering Council	
Ms T A Tasker	
Mr W M Lownsbrough	(Resigned 18 March 2021)
Mr C Martin	
Ms C Renouf	(Resigned 8 February 2021)
Ms E J Sutton	(Resigned 12 March 2021)
Mr I J Smith	
Ms C Meehan	(Resigned 5 February 2021)
Mr G Uney	(appointed 6 May 2021)

INDEPENDENT EXAMINER

Stuart Farrer FCA
Saint & Co Chartered Accountants
Sterling House
Wavell Drive
Rosehill
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Mountain Heritage Trust

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Trustees' Annual Report (Incorporating the Director's Report) *(continued)*

Year ended 31 December 2021

INTRODUCTION

The year ending December 2021, and the subsequent hangover from the interruption caused by the Covid pandemic, continued to present challenges for MHT.

In the early part of the year as the nation emerged from lockdowns and enforced working absences, we used the opportunity to focus again on some of the Trust's contingency policies, notably our Disaster Recovery plan and our Collections Information Policy.

During the enforced recess taken by the Trust during Covid19, the Trustees worked remotely on a Heritage Lottery bid that would allow us to move to more robust staffing compliment and propel us one step nearer to the strategic end game of creating an overarching national heritage organisation that could embrace the geographic diversity of national club archival collections and provide a framework for a national online catalogue. Sadly, the post pandemic landscape for funding was a highly competitive one, and our bid for funding failed on this occasion. However, we looked to the rest of the year to continue to seek a more robust and modern organisational structure and governance as defined by our M&AA, and at the end the year had moved to a position to present the redrafted M&AA proposals to our sole member, The British Mountaineering Council (BMC) for their consideration and ratification.

In April 2021 we took the opportunity to recruit Administration Support for the office, specifically to aid Kelda Roe (Collections Manager) in her post. We were delighted to have Rachel Kelly join the team and her impact on the operational efficiency of the Trust was immediate. Her primary function was to take on the financial administration work and liaison with our new Treasurer, Fiona Bennet, who we also recruited in the same month.

2021 saw the 100th anniversary of the founding of the Pinnacle Club, the UK's only national mountaineering club for women. The Pinnacle Club Centenary Project, supported by funding from the National Lottery Fund and in partnership with MHT outlined its aim to preserve and share the rich history of the Pinnacle Club through voices, images, films and events and provided one of the UK's premier mountaineering celebrations during 2021. MHT were able to consult the Club on how to tell their stories to a wider audience, rebalancing a narrative which is primarily about men, and spotlighting women's longstanding involvement in climbing and mountaineering. MHT's specific expertise was sought to support the mainstay exhibition which was staged in Cumbria and later in London at the Alpine Club, between 5th July to 14th November 2021. We were delighted that Kelda was able to complete her work on this hugely important national exhibition before departing on her maternity leave.

The first half of 2021 saw the departure of Christine Renouf and Liz Sutton, long standing trustees whose contribution over the past years had been considerable. With the previously reported death of Doug Scott, in December 2020, the Trust began to seek new Trustees and we were delighted to have Graham Uney join in June to begin to bolster a new complement of Trustees. Further strengthening of the Trustee and Patron cohort is seen as a priority for 2022/23.

On 16th July 2021, Kelda departed on maternity leave. Her drive and enthusiasm for the Trust collections was a catalyst in re-energising the Trust's activities post lockdown and her subsequent absence was always going to be a significant loss. Given that the temporary nature of her absence and recruiting a suitably qualified maternity replacement would prove extremely challenging, it was decided that the remaining Trustees, under the leadership of the Chair, would maintain minimal operational cover for the Trust alongside the Office Administrator, similar to that undertaken during pandemic furlough.

During the year we continued to receive a number of private donations to our archives as well as our library. Further historically significant archival donations were received from the estates of Ian McNaught-Davis, Paul Nunn, Mark Vallance, John Allen and Ian Howell. We remain hugely grateful to the families of these esteemed members of the climbing community, and indeed all our donor families, for their significant additions to the

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Year ended 31 December 2021

national mountaineering archives.

Following a drop in the British Mountaineering Council's (BMC) income due to the Covid-19 pandemic, the 2020 grant, used essentially to recompense Collection Manager and Administrator salaries, was reduced significantly. We are delighted to report that the full £35,000 funding has been reinstated this year and this has allowed us to continue to fund these two roles that play a key role in ensuring that the Trust remains viable. Fundraising to ensure the long-term sustainability of the Trust continues to be a priority as we now move into 2023.

As we reach the end of 2021, the Trust's lease on its premises at FSC Blencathra falls due for renewal in January and it remains the intention of the Trust to seek renewal for a further term to be agreed with our landlords.

STRUCTURE, GOVERNANCE AND MANAGEMENT

Governing document

The company is a Registered Charity and a Company Limited by Guarantee and is governed by its Memorandum and Articles of Association.

Recruitment and Appointment of Trustees

The directors and Trustees are appointed by the members. At the time of this report, the sole member is the British Mountaineering Council (BMC) who has therefore appointed all Directors and Trustees. However, a governance review with the Trust's legal advisors has recently been concluded which will now ensure that the Trust is operating from a governance structure that is more relevant to a modern day Charity legal framework and allows MHT to operate more independently from the sole influence of the BMC. In essence it will allow the Trust to bring in a broader 'membership' of heritage mountaineering bodies to work alongside the BMC. The Memorandum & Articles of Association have been revised and, having been approved by the Board of the BMC, are in the process of registration at Companies House and the Charity Commission.

The Board of Trustees

The current Board of Trustees has been reduced due to some individuals reaching the end of their three-year tenure and wishing to stand down. Furthermore, one moved from being a Trustee to a Patron, and sadly we had to report the death of Doug Scott, one of our longest serving Trustees and a former Vice Chair. We have recruited a new Trustee, alongside a bolstering of our office staffing contingent, and we hope to progress further trustee recruitment this year. We currently have three patrons, but it is hoped to attract additional candidates to support the Trust in this capacity also. As mentioned, this year has been a challenging one for the remaining contingent of Trustees on a personal level with illnesses and bereavements within respective families that needed their attention. This coincided with the office contingent also weakening with the maternity absence of the Collections Manager and her subsequent resignation. But the procurement of an Excellent replacement candidate in the round of interviews plus new administrative, finance and marketing resourcing means we enter 2024 with a renewed vigour and stronger staffing complement all round. The ability of Trustees to meet quarterly this year was therefore somewhat compromised but contingency arrangements put in place to ensure the office was periodically manned and decision making could be effected via zoom etc has meant that the Trust has remained active throughout the year albeit in a reduced capacity.

As a Registered Charity the company is non-profit making and has at its sole member, the British Mountaineering Council (BMC). The BMC is a corporate body with over 75,000 members and is limited by guarantee but is not a charity. Mountain Heritage Trust has been incorporated without share capital as it is limited by guarantee, to a maximum of £1, by its members. The Memorandum and Articles of Association prohibit distribution of any surpluses other than to similar charities and so by definition the BMC will not be able to benefit financially from any surplus generated by the Charity. Future members of the Charity are to be approved by all existing members.

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Year ended 31 December 2021

Risk Management

The Directors and Trustees, as mentioned above, have carried out a review of the Charity's activities. The Directors and Trustees are monitoring progress against the strategic objectives set out in the plan at each quarterly meeting and a comprehensive annual review is also carried out. As part of this process, the Trustees have assessed the major risks to which the Charity is exposed, in particular those related to the operations and finance of the Charity and are satisfied those systems are in place to mitigate exposure to major risks.

OBJECTIVES AND ACTIVITIES

The Charity was established for the advancement for the public benefit of education and training through knowledge and understanding about the history, heritage, skills and safe conduct of climbing, hill walking and mountaineering and the environments in which these activities take place; for the advancement for the public benefit of education, awareness and understanding for the creation of a record and archive, and display and preservation of mountaineering history and heritage; and to assist in the provision of facilities for recreation or leisure for persons who are in need thereof by reason of their youth, age, infirmity, poverty or to the members of the public at large.

These objects were fulfilled as detailed in the review of activities.

Public Benefit

The Trustees confirm that they have complied with section 17(5) of the 2011 Charities Act in having paid due regard to the Charities Commission guidance on public benefit.

The trustees have considered the guidance issued by the Charity Commission and confirm that they continue to adhere to this guidance. The benefit of MHT's work to the general public is that it provides a unique resource of Britain's mountain heritage which is preserved and promoted to as wide an audience as possible. The creation and upkeep of this legacy will ensure future generations will have full knowledge of this fascinating aspect of our history.

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ACHIEVEMENTS AND PERFORMANCE

As previously mentioned, during 2021 the Trust underwent a further extended period of dormancy, similar to that experienced during the pandemic of the previous year. This time the curtailment of much planned activity was due to the maternity absence of our Collections Manager, who returned in early 2022 only to hand in her resignation. A thorough and successful recruitment process was convened and a new Collections Manager moved into post during 2022 to enable us to readdress many of the priorities held over from the previous reporting year.

- Early in 2021 we provided curatorship expertise for a celebration of the 100th Anniversary of the Pinnacle Club, the UK's only all female climbing and mountaineering club. This was met with significant national acclaim and the exhibition moved on from its original location in Cumbria to the halls of the Alpine Club in London. There was also significant national profile given to the anniversary by the media and it was pleasing to see the Trust gain greater profile as a result of its partnership with the Pinnacle Club on this project.
- The Trust has, as always, continued to acquire new collections with considerable interest and significance to the mountaineering community. Work continue apace to log these into the cataloguing database and a concerted effort on the part of the new Collections Manager in 2022 will show a huge improvement in the visibility of our collections to academic researchers and those wishing to explore mountaineering's vast and varied history.
- In October 2021 we were delighted to host the world premier of the feature-length documentary film screening about Cumbrian miner, rock climber and artist Bill Peascod (1920-1985). The film charted Bill's life from a challenging childhood in the Cumberland coalfields to his pioneering of new rock climbing routes in 1940s. Filmed in England, Australia and Japan, it featured rare MHT archive material, interviews with John Innerdale and Chris Bonington from the Trust, photographs by the Abraham Brothers and a soundtrack by Cumbrian and Australian musicians.
- Continued **Partnership work with the National Trust** at Allan Bank where the Chorley Hopkinson library resides remains ongoing. The National Trust continue to consider funding opportunities to broaden the popularity of Allan Bank to its membership and the general public. It is hoped that by doing so we can bring a greater prominence to the importance of the mountaineering library entrusted to ourselves and the National Trust by Lord Chorley. We continue to view our partnership working with the National Trust as an exciting opportunity for MHT on many differing levels which we hope to be able to report in next years accounting statement.

As previously mentioned a huge amount of work from the trustees and the Collections Manager was effected to prepare for a **substantial Heritage Lottery bid**, submitted at the end of 2020. Sadly in early 2021 we learned that this was not successful due to huge competition in the funding space post pandemic.

Research

Given the ongoing office closure for the bulk of the reporting year it was decided to restrict access only to MHT Trustees and staff and as such no research was conducted by scholars etc during the year in question.

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Trustees' Annual Report (Incorporating the Director's Report) *(continued)*

Year ended 31 December 2021

FINANCIAL REVIEW

During the financial year our total incoming resources, of the charity were £65,528 of which £8,700 was restricted. Total resources expended, for the charity were £51,391 of which £9,862 was spent on restricted projects, resulting in a Net Resources Surplus of £14,137.

The Balance Sheet shows Total Funds at the Balance Sheet date of £77,962 represented by Unrestricted General Funds of £67,272 and Restricted Funds of £10,690.

The financial position of the charity as at the Balance Sheet date is considered to be satisfactory.

Reserves and Investment Policy

The charity is in its eighteenth year of operation, and it is intended to build up six months expenditure in due course as free reserves on the unrestricted fund in order to allow the charity to react in an orderly way to unforeseen events. At the year end unrestricted reserve levels were £67,272 (2020: £52,770) and the charity's current level of unrestricted free reserves (total funds less the amount held in fixed assets and restricted funds) is £35,865 (2020: £20,570).

There are no investments.

Investment Powers

Under the Memorandum and Articles of Association, the Charity has the power to make any investment which the Trustees think appropriate.

PLANS FOR FUTURE PERIODS

- a) Continue to consolidate and develop MHT's presence in its current home at the Blencathra Field Studies Centre as well as considering opportunities to develop a greater presence in the wider region including other areas of Northern England.
 - b) Following the findings in our 'Resilience Project' - we have outlined new plans to develop an event based timeline driven marketing strategy that supports all areas of the Trust. A contract has been negotiated with a specialist marketing agency and this will be enacted during January 2024.
 - c) To further develop the relationship with Mountain Rescue England and Wales to support their Heritage efforts.
 - d) When the necessary staff and trustee resources are available, develop a manageable and sustainable events profile for MHT which directly / indirectly keeps the custodianship, dissemination and development of its collections central.
 - e) To continue to add to the database of National Archives with regular updating.
 - f) To continue to target potential mountain heritage archives and be pro-active in securing their future.
 - g) To continue to offer support and consultancy to other mountain heritage organisations, in particular the Scottish Mountain Heritage Collection, the Kendal Mountain Festivals archive and the Boardman / Tasker Charitable Trust.
 - h) To continue to support and develop a relationship with climbing clubs for the potential development of club archives, including oral interviews.
 - i) To continue to offer heritage consultancy to the BMC and promote the work of MHT with regular articles in Summit magazine and gain a presence on the BMC website regarding mountain heritage.
 - j) Revisit the five-year Development Plan which was an outcome of the Resilience Plan project funded by the HLF which will guide the Trust's priorities and activities.
 - k) Focus our governance through increased skills and confidence in areas including strategy, fundraising and collections management.
 - l) Further develop the Collections Management System which supports the nationally significant heritage in our care.
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Year ended 31 December 2021

- m) Develop partnerships with key stakeholders in line with 'mountain heritage' to understand how MHT could develop to be most useful to them, whether as individual heritage organisations or the mountaineering sector.

Connected Institutions and Bodies

Currently, the British Mountaineering Council is the sole member of Mountain Heritage Trust with the power to appoint Trustees. Its principal activity continues to be to act as the representative body for the sport of climbing, mountaineering (which shall include ski-mountaineering) and hill walking. However, as previously advised work has continued to further enhance the independence of MHT as a national heritage body, strengthening its membership to encompass a wider variety of heritage stakeholders. This work continued during the financial year 2020/21 under the auspices of the Trust's Chairperson and legal advisors, and final ratification by the BMC, and subsequent registration with Companies House and The Charities Commission, was undertaken in 2022.

Directors of British Mountaineering Council are as follows:

F Alzetta (appointed 6 January 2021)

P Davis

J Dry

D N Hopper (appointed 6 January 2021)

M N Hurn (appointed 16 May 2021)

P Salenieks

F Sanders

C B Spencer

A B Syme (appointed 16 May 2021)

J D White

C B Worboys (appointed 13 January 2021)

SMALL COMPANY PROVISIONS

This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

The trustees' annual report was approved on 2022 and signed on behalf of the board of trustees by:

Ms T A Tasker
Trustee

Mr C Martin
Trustee

Mountain Heritage Trust

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Independent Examiner's Report to the Trustees of Mountain Heritage Trust

Year ended 31 December 2021

I report to the trustees on my examination of the financial statements of Mountain Heritage Trust ('the charity') for the year ended 31 December 2021.

RESPONSIBILITIES AND BASIS OF REPORT

As the trustees of the company (and also its directors for the purposes of company law) you are responsible for the preparation of the financial statements in accordance with the requirements of the Companies Act 2006 ('the 2006 Act').

Having satisfied myself that the accounts of the company are not required to be audited under Part 16 of the 2006 Act and are eligible for independent examination, I report in respect of my examination of the charity's accounts as carried out under section 145 of the Charities Act 2011 ('the 2011 Act'). In carrying out my examination I have followed the Directions given by the Charity Commission under section 145(5)(b) of the 2011 Act.

INDEPENDENT EXAMINER'S STATEMENT

I have completed my examination. I confirm that no matters have come to my attention in connection with the examination giving me cause to believe:

1. accounting records were not kept in respect of the charity as required by section 386 of the 2006 Act; or
2. the financial statements do not accord with those records; or
3. the financial statements do not comply with the accounting requirements of section 396 of the 2006 Act other than any requirement that the accounts give a 'true and fair' view which is not a matter considered as part of an independent examination; or
4. the financial statements have not been prepared in accordance with the methods and principles of the Statement of Recommended Practice for accounting and reporting by charities applicable to charities preparing their accounts in accordance with the Financial Reporting Standard applicable in the UK and Republic of Ireland (FRS 102).

I have no concerns and have come across no other matters in connection with the examination to which attention should be drawn in this report in order to enable a proper understanding of the accounts to be reached.

Stuart Farrer FCA
Independent Examiner

Saint & Co Chartered Accountants
Sterling House
Wavell Drive
Rosehill
Carlisle
Cumbria
CA1 2SA

Date:.....

Mountain Heritage Trust
Company Limited by Guarantee
Statement of Financial Activities
(including income and expenditure account)
Year ended 31 December 2021

			2021		2020
		Unrestricted	Restricted	Total funds	Total funds
	Note	funds	funds		
		£	£	£	£
Income and endowments					
Donations and legacies	5	49,750	8,700	58,450	49,723
Charitable activities	6	7,078	–	7,078	170
Investment income	7	–	–	–	15
Total income		<u>56,828</u>	<u>8,700</u>	<u>65,528</u>	<u>49,908</u>
Expenditure					
Expenditure on raising funds:					
Costs of raising donations and legacies	8	(232)	–	(232)	(669)
Expenditure on charitable activities	9,10	(41,298)	(9,862)	(51,159)	(69,947)
Total expenditure		<u>(41,530)</u>	<u>(9,862)</u>	<u>(51,391)</u>	<u>(70,616)</u>
Net income/(expenditure)		<u>15,298</u>	<u>(1,162)</u>	<u>14,137</u>	<u>(20,708)</u>
Transfers between funds		(796)	796	–	–
Net movement in funds		<u>14,502</u>	<u>(366)</u>	<u>14,137</u>	<u>(20,708)</u>
Reconciliation of funds					
Total funds brought forward		52,770	11,056	63,826	84,534
Total funds carried forward		<u>67,272</u>	<u>10,690</u>	<u>77,962</u>	<u>63,826</u>

The statement of financial activities includes all gains and losses recognised in the year.
All income and expenditure derive from continuing activities.

The notes on pages 11 to 23 form part of these financial statements.

Mountain Heritage Trust
Company Limited by Guarantee
Statement of Financial Position *(continued)*
31 December 2021

	Note	2021 £	2020 £
FIXED ASSETS			
Tangible fixed assets	16	13,571	15,300
Heritage assets	17	25,000	25,000
		<u>38,571</u>	<u>40,300</u>
CURRENT ASSETS			
Debtors	18	5,852	1,908
Cash at bank and in hand		35,676	33,624
		<u>41,528</u>	<u>35,532</u>
CREDITORS: amounts falling due within one year	19	<u>(2,137)</u>	<u>(12,006)</u>
NET CURRENT ASSETS		<u>39,391</u>	<u>23,526</u>
TOTAL ASSETS LESS CURRENT LIABILITIES		<u>77,962</u>	<u>63,826</u>
NET ASSETS		<u>77,962</u>	<u>63,826</u>
FUNDS OF THE CHARITY			
Restricted funds		10,690	11,056
Unrestricted funds		67,272	52,770
Total charity funds	23	<u>77,962</u>	<u>63,826</u>

For the year ending 31 December 2021 the charity was entitled to exemption from audit under section 477 of the Companies Act 2006 relating to small companies.

Directors' responsibilities:

- The members have not required the company to obtain an audit of its financial statements for the year in question in accordance with section 476;
- The directors acknowledge their responsibilities for complying with the requirements of the Act with respect to accounting records and the preparation of financial statements.

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime.

These financial statements were approved by the board of trustees and authorised for issue on 2022, and are signed on behalf of the board by:

Ms T A Tasker
Trustee

Mr C Martin
Trustee

Company Registration Number: 03950830

The notes on pages 11 to 23 form part of these financial statements.

Mountain Heritage Trust

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Notes to the Financial Statements *(continued)*

Year ended 31 December 2021

1. GENERAL INFORMATION

The charity is a public benefit entity and a private company limited by guarantee, registered in England and Wales and a registered charity in England and Wales. The address of the registered office is Blencathra Field Centre, Threlkeld, Keswick, CA12 4SG.

2. STATEMENT OF COMPLIANCE

These financial statements have been prepared in compliance with FRS 102, 'The Financial Reporting Standard applicable in the UK and the Republic of Ireland', the Statement of Recommended Practice applicable to charities preparing their accounts in accordance with the Financial Reporting Standard applicable in the UK and Republic of Ireland (FRS 102) (Charities SORP 2019 (FRS 102)), the Companies Act 2006 and the Charities Act 2011.

3. ACCOUNTING POLICIES

Basis of preparation

The financial statements have been prepared on the historical cost basis, as modified by the revaluation of certain financial assets and liabilities and investment properties measured at fair value through income or expenditure.

The financial statements are prepared in sterling, which is the functional currency of the entity.

Going concern

There are no material uncertainties about the charity's ability to continue.

Taxation

No provision is made for taxation as exemption has been granted by the HM Revenue and Customs from taxation under the legislation applicable to charitable companies, section 466 to 493 of the Corporation Tax Act 2010.

Disclosure exemptions

The charity has taken advantage of the disclosure exemptions permitted by the Charities SORP 2015 (FRS102) regarding inclusion of a Statement of Cash Flows as the Charity is a small charity as defined in Update Bulletin 1 of the Charities SORP (FRS102).

Judgements and key sources of estimation uncertainty

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported. These estimates and judgements are continually reviewed and are based on experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Significant judgements

The trustees consider there were no significant judgements made in preparing the financial statements.

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements *(continued)*
Year ended 31 December 2021

3. ACCOUNTING POLICIES (continued)

Key sources of estimation uncertainty

Accounting estimates and assumptions are made concerning the future and, by their nature, will rarely equal the related actual outcome. The trustees consider there are no key sources of estimation uncertainty.

Fund accounting

General funds are unrestricted funds which are available for use at the discretion of the trustees in furtherance of the general objectives of the charity and which have not been designated for other purposes.

Restricted funds are funds that are to be used in accordance with specific restrictions imposed by donors or which have been raised by the charity for a particular purpose. The aim and use of each restricted fund is set out in the notes to the financial statements.

Incoming resources

All income is included in the statement of financial activities once the charity has entitlement to the income, it is probable that the income will be received and the amount of income receivable can be measured reliably. The following specific policies are applied to particular categories of income:

- (a) Voluntary income is received by way of grants, donations and gifts and is included in full in the statement of financial activities when receivable. Grants where entitlement is not conditional on the delivery of a specific performance by the charity, are recognised when the charity becomes unconditionally entitled to the grant.
- (b) Donated services and facilities are included at the value to the charity where this can be quantified. The value of services provided by volunteers has not been included.
- (c) Gifts donated for resale are included as income within activities for generating funds when they are sold.
- (d) Legacy income is recognised when receipt is probable and entitlement is established.
- (e) Income from grants, where related to specific performance conditions, are accounted for as earned (as the related goods or services are provided). Grant income included in this category provides funding to support performance activities and is recognised where there is entitlement, receipt of the income is probable and the amount can be measured with sufficient reliability.
- (f) Income or grants received in advance are held in deferred income. Any grants restricted to future accounting periods are deferred and recognised in those accounting periods.

Resources expended

Expenditure is recognised on an accruals basis as a liability is incurred. Expenditure includes any VAT which cannot be fully recovered, and is classified under headings of the statement of financial activities to which it relates:

- expenditure on raising funds includes the costs of all fundraising activities, events, non-charitable trading activities, and the sale of donated goods.

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements *(continued)*
Year ended 31 December 2021

3. ACCOUNTING POLICIES (continued)

- expenditure on charitable activities includes all costs incurred by a charity in undertaking activities that further its charitable aims for the benefit of its beneficiaries, including those support costs and costs relating to the governance of the charity apportioned to charitable activities.
- other expenditure includes all expenditure that is neither related to raising funds for the charity nor part of its expenditure on charitable activities.

All costs are allocated to expenditure categories reflecting the use of the resource. Direct costs attributable to a single activity are allocated directly to that activity. Shared costs are apportioned between the activities they contribute to on a reasonable, justifiable and consistent basis.

Operating leases

Lease payments are recognised as an expense over the lease term on a straight-line basis. The aggregate benefit of lease incentives is recognised as a reduction to expense over the lease term, on a straight-line basis.

Tangible assets

Tangible assets are initially recorded at cost, and subsequently stated at cost less any accumulated depreciation and impairment losses. Any tangible assets carried at revalued amounts are recorded at the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

An increase in the carrying amount of an asset as a result of a revaluation, is recognised in other recognised gains and losses, unless it reverses a charge for impairment that has previously been recognised as expenditure within the statement of financial activities. A decrease in the carrying amount of an asset as a result of revaluation, is recognised in other recognised gains and losses, except to which it offsets any previous revaluation gain, in which case the loss is shown within other recognised gains and losses on the statement of financial activities.

Depreciation

Depreciation is calculated so as to write off the cost or valuation of an asset, less its residual value, over the useful economic life of that asset as follows:

Fixtures and Fittings	- 10% reducing balance
Equipment	- 20% reducing balance

Heritage assets

The charity holds heritage assets, originally acquired by way of gift, which are tangible fixed assets of historical, artistic or scientific importance that are held to advance preservation and conservation objectives of the charity.

Where heritage assets were acquired in past accounting periods and not capitalised, it can be difficult or costly to attribute a cost or value to them. Therefore heritage assets are excluded from the balance sheet as reliable cost information is not available and conventional valuation approaches lack sufficient reliability or significant costs are involved in the reconstruction or analysis of past accounting records or in valuation, which are onerous compared with the additional benefit derived by users of the accounts in assessing the trustees' stewardship of the assets.

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements *(continued)*
Year ended 31 December 2021

3. ACCOUNTING POLICIES (continued)

Impairment of fixed assets

A review for indicators of impairment is carried out at each reporting date, with the recoverable amount being estimated where such indicators exist. Where the carrying value exceeds the recoverable amount, the asset is impaired accordingly. Prior impairments are also reviewed for possible reversal at each reporting date.

Debtors

Trade and other debtors are recognised at the settlement amount due after any trade discount offered. Prepayments are valued at the amount prepaid net of any trade discounts due.

Creditors and provisions

Creditors and provisions are recognised where the charity has a present obligation resulting from a past event that will probably result in the transfer of funds to a third party and the amount due to settle the obligation can be measured or estimated reliably. Creditors and provisions are normally recognised at their settlement amount after allowing for any trade discounts due.

Government grants

Government grants are recognised at the fair value of the asset received or receivable. Grants are not recognised until there is reasonable assurance that the charity will comply with the conditions attaching to them and the grants will be received.

Where the grant does not impose specified future performance-related conditions on the recipient, it is recognised in income when the grant proceeds are received or receivable. Where the grant does impose specified future performance-related conditions on the recipient, it is recognised in income only when the performance-related conditions have been met. Where grants received are prior to satisfying the revenue recognition criteria, they are recognised as a liability.

Financial instruments

A financial asset or a financial liability is recognised only when the entity becomes a party to the contractual provisions of the instrument.

Basic financial instruments are initially recognised at the amount receivable or payable including any related transaction costs, unless the arrangement constitutes a financing transaction, where it is recognised at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Current assets and current liabilities are subsequently measured at the cash or other consideration expected to be paid or received and not discounted.

Debt instruments are subsequently measured at amortised cost.

Financial assets that are measured at cost or amortised cost are reviewed for objective evidence of impairment at the end of each reporting date. If there is objective evidence of impairment, an impairment loss is recognised under the appropriate heading in the statement of financial activities in which the initial gain was recognised.

Mountain Heritage Trust

Company Limited by Guarantee

Notes to the Financial Statements *(continued)*

Year ended 31 December 2021

3. ACCOUNTING POLICIES (continued)

Defined contribution plans

The charity operates a defined contribution pension scheme for its employee. The assets of the scheme are held separately from those of the charity. The annual contributions payable are charged to the statement of financial activities.

4. LIMITED BY GUARANTEE

Every member of the company undertakes to contribute to the assets of the company, in the event of the same being wound up while he is a member or within one year after he ceases to be a member, the payments of debts and liabilities of the company contracted before he ceased to be a member and of the costs, charges and expenses of winding up and for the adjustment of the rights of the contributors among themselves, such amount as may be required not exceeding £1.

5. DONATIONS AND LEGACIES

	Unrestricted Funds £	Restricted Funds £	Total Funds 2021 £
DONATIONS			
Donations	10,143	—	10,143
GRANTS			
Heritage Lottery Fund Grant	—	—	—
The British Mountaineering Council	35,000	—	35,000
HLF Resilience	—	—	—
Heritage Compass	2,000	—	2,000
Government grant income	2,607	8,700	11,307
SPONSORSHIP			
Sponsorship	—	—	—
	<u>49,750</u>	<u>8,700</u>	<u>58,450</u>
	Unrestricted Funds £	Restricted Funds £	Total Funds 2020 £
DONATIONS			
Donations	5,417	—	5,417
GRANTS			
Heritage Lottery Fund Grant	—	17,700	17,700
The British Mountaineering Council	15,300	—	15,300
HLF Resilience	—	(3,228)	(3,228)
Heritage Compass	—	—	—
Government grant income	5,167	8,700	13,867
SPONSORSHIP			
Sponsorship	667	—	667
	<u>26,551</u>	<u>23,172</u>	<u>49,723</u>

Mountain Heritage Trust

Company Limited by Guarantee

Notes to the Financial Statements *(continued)*

Year ended 31 December 2021

6. CHARITABLE ACTIVITIES

	Unrestricted Funds	Total Funds 2021	Unrestricted Funds	Total Funds 2020
	£	£	£	£
Other income	211	211	170	170
The Pinnacle club	6,867	6,867	—	—
	<u>7,078</u>	<u>7,078</u>	<u>170</u>	<u>170</u>

7. INVESTMENT INCOME

	Unrestricted Funds	Total Funds 2021	Unrestricted Funds	Total Funds 2020
	£	£	£	£
Bank interest receivable	—	—	15	15
	<u>—</u>	<u>—</u>	<u>15</u>	<u>15</u>

8. COSTS OF RAISING DONATIONS AND LEGACIES

	Unrestricted Funds	Total Funds 2021	Unrestricted Funds	Total Funds 2020
	£	£	£	£
Costs of other trading income	232	232	669	669
	<u>232</u>	<u>232</u>	<u>669</u>	<u>669</u>

9. EXPENDITURE ON CHARITABLE ACTIVITIES BY FUND TYPE

	Unrestricted Funds	Restricted Funds	Total Funds 2021
	£	£	£
Charitable activities	31,693	1,162	32,855
Support costs	9,605	8,700	18,304
	<u>41,298</u>	<u>9,862</u>	<u>51,159</u>

	Unrestricted Funds	Restricted Funds	Total Funds 2020
	£	£	£
Charitable activities	28,137	35,450	63,587
Support costs	4,386	1,974	6,360
	<u>32,523</u>	<u>37,424</u>	<u>69,947</u>

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements *(continued)*
Year ended 31 December 2021

10. EXPENDITURE ON CHARITABLE ACTIVITIES BY ACTIVITY TYPE

Charitable Activities	2021	2020
	£	£
Exhibition and Event expenses	91	640
Wages & Salaries	17,216	28,364
Pension costs	944	1,367
Rent	11,000	11,000
Insurance	905	1,022
Travel and Subsistence	45	438
Legal & Professional	-	18,271
Telephone	347	433
Depreciation	1,729	1,975
Printing, postage, stationery and advertising	51	12
Archival material costs	527	65
	32,855	63,587
Support Activities	2021	2020
	£	£
Repairs & Maintenance	634	-
Marketing and Website Costs	3,955	3,849
Bank charges & interest	86	88
Sundry	318	913
	4,993	4,850
Governance Costs	2021	2020
	£	£
Accountancy fees	2,813	1,510
Legal Fees	10,498	-
	51,159	69,947

11. ANALYSIS OF SUPPORT COSTS

	Analysis of support costs	Total 2021	Total 2020
	£	£	£
Communications and IT	3,955	3,955	3,849
Finance costs	86	86	88
Governance costs	13,311	13,311	1,510
Sundry	952	952	913
	18,304	18,304	6,360

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements *(continued)*
Year ended 31 December 2021

12. NET INCOME/(EXPENDITURE)

Net income/(expenditure) is stated after charging/(crediting):

	2021	2020
	£	£
Depreciation of tangible fixed assets	<u>1,729</u>	<u>1,974</u>

13. INDEPENDENT EXAMINATION FEES

	2021	2020
	£	£
Fees payable to the independent examiner for:		
Independent examination of the financial statements	<u>578</u>	<u>550</u>

14. STAFF COSTS

The total staff costs and employee benefits for the reporting period are analysed as follows:

	2021	2020
	£	£
Wages and salaries	17,216	28,364
Employer contributions to pension plans	<u>944</u>	<u>1,367</u>
	<u>18,160</u>	<u>29,731</u>

The average head count of employees during the year was 1 (2020: 1).

No employee received employee benefits of more than £60,000 during the year (2020: Nil).

15. TRUSTEE REMUNERATION AND EXPENSES

No remuneration was paid directly or indirectly out of the funds of the charity to any Trustee or to any person or persons known to be connected with them.

No reimbursement was made out of the funds of the charity to any Trustee in respect of their position as Trustee. No Trustees claimed travel and subsistence expenses in the year. (2020: £550 for travel and subsistence was paid to 3 trustees).

Mountain Heritage Trust
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Notes to the Financial Statements (continued)
Year ended 31 December 2021

16. TANGIBLE FIXED ASSETS

	Fixtures and fittings £	Equipment £	Total £
Cost			
At 1 January 2021 and 31 December 2021	<u>19,069</u>	<u>5,702</u>	<u>24,771</u>
Depreciation			
At 1 January 2021	5,746	3,725	9,471
Charge for the year	<u>1,333</u>	<u>396</u>	<u>1,729</u>
At 31 December 2021	<u>7,079</u>	<u>4,121</u>	<u>11,200</u>
Carrying amount			
At 31 December 2021	<u>11,990</u>	<u>1,581</u>	<u>13,571</u>
At 31 December 2020	<u>13,323</u>	<u>1,977</u>	<u>15,300</u>

17. HERITAGE ASSETS

The charity holds heritage assets consisting of a painting of Scafell Crag by Julian Cooper and also holds title to other collections of mountaineering significance.

The Trust maintains summary lists (electronic and/or paper) of its heritage assets, these are to be expanded in the near future to provide greater detail as time permits. Access is permitted to all assets (except in two cases where a closure period has been agreed with donors for a small section of specified collections) once they are catalogued and providing users follow the Trust's handling guidelines and comply with Data Protection legislation.

	Heritage Asset £
Cost or valuation	
At 1 January 2021 and 31 December 2021	<u>25,000</u>
Accumulated depreciation	
At 1 January 2021 and 31 December 2021	<u>–</u>
Carrying amount	
At 31 December 2021	<u>25,000</u>
At 31 December 2020	<u>25,000</u>

The heritage asset included within the financial statements is the painting of Scafell Crag by Julian Cooper. This is included at valuation.

Heritage assets recognised at valuation

In 2010, the painting was valued on behalf of the trustees, by The Heaton Cooper Studio Limited to a value of £25,000. The Heaton Cooper Studio Limited appear appropriately skilled to carry out this work. Julian Cooper is a director of The Heaton Cooper Studio Limited. The Trustees consider this valuation to be an accurate reflection of the true worth of the painting to the charity at the year end. The trustees are of the opinion that the painting is not depreciating.

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements *(continued)*
Year ended 31 December 2021

17. HERITAGE ASSETS (continued)

Summary of transactions

	2021 £	2020 £	2019 £	2018 £	2017 £
Not included in the statement of financial position					
Donations	—	—	—	—	7,755
Total additions	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>7,755</u>

There have been no transactions in the last 5 years relating to heritage assets included in the balance sheet.

Heritage assets not recognised on the statement of financial position

The Trust holds title to a collection of heritage assets originally acquired by way of a gift. The value of this collection has not been included within the financial statements due to the nature of the items preventing a fair market value being obtained. The insured sum for this collection amounts to £55,167, a value which the trustees believe to be reasonable.

18. DEBTORS

	2021 £	2020 £
Prepayments and accrued income	2,741	500
Other debtors	3,111	1,408
	<u>5,852</u>	<u>1,908</u>

19. CREDITORS: amounts falling due within one year

	2021 £	2020 £
Trade creditors	181	2,712
Accruals and deferred income	1,710	8,775
Social security and other taxes	—	274
Other creditors	245	245
	<u>2,136</u>	<u>12,006</u>

20. DEFERRED INCOME

	2021 £	2020 £
At 1 January 2021	6,960	—
Amount released to income	(6,960)	—
Amount deferred in year	—	6,960
At 31 December 2021	<u>—</u>	<u>6,960</u>

There is no deferred income (2020: The deferred income in the year is for part of the Culture Recovery Fund 2020 which relates to the period 1 January 2021 to 31 March 2021).

Mountain Heritage Trust

Company Limited by Guarantee

Notes to the Financial Statements *(continued)*

Year ended 31 December 2021

21. PENSIONS AND OTHER POST RETIREMENT BENEFITS

Defined contribution plans

The amount recognised in income or expenditure as an expense in relation to defined contribution plans was £944 (2020: £1,367).

22. GOVERNMENT GRANTS

The amounts recognised in the financial statements for government grants are as follows:

	2021	2020
	£	£
Recognised in income from donations and legacies:		
Government grants income	<u>11,307</u>	<u>13,867</u>

Included in Government grants is £2,607 (2020: £5,167) relating to grants claimed under the Coronavirus Job Retention Scheme and £8,700 (2020: £8,700) relating to the Culture Recovery Fund.

23. ANALYSIS OF CHARITABLE FUNDS

Unrestricted funds

	At 1 January				At
	2021	Income	Expenditure	Transfers	31 December
	£	£	£	£	2021
	£	£	£	£	£
General funds	<u>52,770</u>	<u>56,828</u>	<u>(41,530)</u>	<u>(796)</u>	<u>67,272</u>

	At 1 January				At
	2020	Income	Expenditure	Transfers	31 December
	£	£	£	£	2020
	£	£	£	£	£
General funds	<u>60,126</u>	<u>26,737</u>	<u>(33,192)</u>	<u>(901)</u>	<u>52,770</u>

Mountain Heritage Trust
Company Limited by Guarantee
Notes to the Financial Statements (continued)
Year ended 31 December 2021

23. ANALYSIS OF CHARITABLE FUNDS (continued)

Restricted funds

	At 1 January				At 31 December
	2021	Income	Expenditure	Transfers	2021
	£	£	£	£	£
Man and Mountain	–	–	(113)	113	–
Mercer's Grant	–	–	(683)	683	–
Joe Tasker	539	–	(108)	–	431
Johnnie Lees	1,868	–	(33)	–	1,835
Archives Testbed	3,260	–	(225)	–	3,035
HLF Resilience project	5,389	–	–	–	5,389
Culture Recovery Fund					
2020	–	8,700	(8,700)	–	–
HLF Emergency Funding	–	–	–	–	–
	<u>11,056</u>	<u>8,700</u>	<u>(9,862)</u>	<u>796</u>	<u>10,690</u>

	At 1 January				At 31 December
	2020	Income	Expenditure	Transfers	2020
	£	£	£	£	£
Man and Mountain	–	–	(141)	141	–
Mercer's Grant	–	–	(759)	759	–
Joe Tasker	674	–	(135)	–	539
Johnnie Lees	1,908	–	(40)	–	1,868
Archives Testbed	3,260	–	–	–	3,260
HLF Resilience project	18,566	(3,228)	(9,949)	–	5,389
Culture Recovery Fund					
2020	–	8,700	(8,700)	–	–
HLF Emergency Funding	–	17,700	(17,700)	–	–
	<u>24,408</u>	<u>23,172</u>	<u>(37,424)</u>	<u>900</u>	<u>11,056</u>

The Man and Mountain fund was a Heritage Lottery Fund Grant and is restricted to a project exploring the life and influence of Sir Chris Bonington.

The Mercer's Grant was restricted to improving archive storage for preserving mountaineering heritage.

The HLF Resilience Grant is restricted to improving the organisational resilience of the charity including developing comprehensive marketing and fundraising strategies, improving website facilities and creating a five year development plan to formalise the trusts priorities.

The Culture Recovery Fund 2020 and the Heritage Lottery Emergency Fund were restricted to cover specific costs to support the Charity in the wake of the coronavirus (COVID-19) pandemic.

Mountain Heritage Trust

Company Limited by Guarantee

Notes to the Financial Statements *(continued)*

Year ended 31 December 2021

24. ANALYSIS OF NET ASSETS BETWEEN FUNDS

	Unrestricted Funds £	Restricted Funds £	Total Funds 2021 £
Tangible fixed assets	6,407	7,164	13,571
Heritage assets	25,000	–	25,000
Current assets	38,002	3,526	41,528
Creditors less than 1 year	(2,137)	–	(2,137)
Net assets	67,272	10,690	77,962

	Unrestricted Funds £	Restricted Funds £	Total Funds 2020 £
Tangible fixed assets	7,200	8,100	15,300
Heritage assets	25,000	–	25,000
Current assets	25,616	9,916	35,532
Creditors less than 1 year	(5,046)	(6,960)	(12,006)
Net assets	52,770	11,056	63,826

25. OPERATING LEASE COMMITMENTS

The total future minimum lease payments under non-cancellable operating leases are as follows:

	2021 £	2020 £
Not later than 1 year	2,750	11,000

26. RELATED PARTIES

The British Mountaineering Council is the sole member of Mountain Heritage Trust, and controls Mountain Heritage Trust through the appointment of trustees to the charity. The receipts from the British Mountaineering Council were; Donation towards general running costs £35,000 (2020: £15,300).

At the balance sheet date £245 was owed to BMC (2020: £245 was owed to BMC).

William Lownsborough, a trustee of Mountain Heritage Trust (up to 18 March 2021), is director of Nibiru Holdings Limited. During the period up to his resignation Mountain Heritage Trust paid Nibiru Holdings Limited £90 (2020: £613) for IT support.

Elizabeth Sutton, a trustee of Mountain Heritage Trust (up to 12 March 2021), is director of Ruby Tiger Limited. During the year Mountain Heritage Trust paid Ruby Tiger Limited £nil (2020: £8,322) for fundraising research and proposal submission, at the year end Mountain Heritage trust owed Ruby Tiger Limited £nil (2020: £2,641).

Key management personnel

Key management personnel include all persons that have authority and responsibility for planning, directing and controlling the activities of the charity. No compensation has been paid to key management personnel for services provided to the charity since key management personnel is made up of the trustees of the charity.